

5.3

Cash Flow Statement Analysis

In the previous section, we had a look at the common size Income statement. In this section, we will look at the Cash flow statement in detail. Let us begin with Cash flow from Operations.

Cash Flow Ratios						
Sum of Non-cash and non-operating/CGFO	0.07	0.05	0.03	0.07	0.09	0.12
Total Operating Working Capital Changes	-9	-177	-173	-212	5	-145
Total Financing Working Capital Changes	7	37	-4	33	51	172
EBITDA/ CGFO	0.96	1.08	1.10	1.09	0.94	0.95
Current Tax Expense/ Taxes Paid	0.99	1.01	0.87	0.99	0.98	1.08
Sum of Last 7 years CFO/Sum of last 7 years PAT						1.036831533

The numbers related to Cash flow from Operations that we need to analyze are -

Sum of Non-cash
and
non-operating /
CGFO

Total Operating
Working Capital
Changes

Total Financing
Working Capital
Changes

EBITDA /
CGFO

Current Tax
Expenses/Taxes
Paid

Sum of last 7
years CFO /
Sum of PAT

Let us understand each of these one by one.

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Sum of Non-cash and non-operating/CGFO

We need to understand what part of the total Cash generated from operations is Sum of Non-cash and non-operating items. For Asset heavy companies, this number will be higher as compared to asset light companies. Generally, smaller this number, better it is. However, one needs to compare with Industry peers.